A century of US stocks: 46 firms created half the net wealth

Hendrik Bessembinder · One Hundred Years in the U.S. Stock Markets · draft dated September 27, 2026 · sample period 1926–2025

$90.96 trillion	46 companies	0.158%
Net shareholder wealth created	Account for about 50%	Of the 29,081 firms studied

What the study actually measures

Bessembinder analyzes **29,754 stocks issued by 29,081 firms** listed in US markets from 1926 through 2025 using CRSP data. He distinguishes the compound return to an individual buy-and-hold investor who reinvests dividends from aggregate **Shareholder Wealth Creation** (SWC). SWC measures in dollars how much shareholder wealth was added or lost relative to one-month US Treasury bills. It incorporates dividends, buybacks, new equity issuance and price changes. **It is not market capitalization or a percentage stock return.**

The typical stock did not earn the market return

The capitalization-weighted market earned a **10.1% compound annual return**, versus **3.3%** for Treasury bills, implying a realized annual equity premium of **6.81 percentage points**. Yet the mean cumulative return across individual stocks was +30,621%, while the median was **−6.87%**. Only **48.22%** of stocks delivered a positive return, **41.17%** beat Treasury bills, and only **27.60%** outperformed the market over their own listing periods. The median listing period was just 6.8 years; most stocks were not traded for the full century.

Extreme concentration, accelerating after 2016

Aggregate net SWC totaled **$90.96 trillion**. Fully **59.13%** of firms destroyed wealth relative to Treasury bills. Once winners and losers are netted, just **1,082 firms (3.72%)** account for **100% of net wealth creation**; only **46 firms (0.158%)** account for roughly half. Using data through 2016 required 89 firms to reach the same 50% threshold. In the 2017–2025 subperiod, just 13 firms accounted for half of the period's net wealth creation.

Percentage returns and dollar wealth creation are different

Apple (5.52%), **Nvidia (5.03%)**, **Microsoft (4.43%)** and **Alphabet (3.93%)** lead dollar-denominated SWC. But **Altria** turned an initial $1 into approximately $4.42 million over a century, compounding at 16.53% a year. **Nvidia** earned 37.04% annually between 1999 and 2025, the highest annualized return among stocks with at least 20 years of data. Firm size and the length of the compounding period affect the two rankings differently.

Investment implications and important limitations

The distribution of individual stock outcomes is **strongly positively skewed**: losses are capped at −100% while gains can compound without a fixed ceiling. As a result, the average return is a poor description of the typical stock. Broad diversification improves the chance of holding some rare long-run winners, but the paper **does not establish that buying the same 46 historical winners today will reproduce their performance**. Nor does it establish that recent increases in concentration will continue indefinitely.

Primary source: Bessembinder (2026), pp. 1–17 and Tables 1, 2, 5, and 7. Data end December 31, 2025.

The 46 companies behind about half of net wealth creation

Ranked by cumulative SWC, 1926–2025 · Amounts in USD billions · Percent of the $90.96 trillion net total

#	Company	Ticker	SWC (USD bn)	% of total
1	**Apple**	AAPL	5,018.86	5.52%
2	**Nvidia**	NVDA	4,575.35	5.03%
3	**Microsoft**	MSFT	4,027.07	4.43%
4	**Alphabet**	GOOGL / GOOG	3,571.40	3.93%
5	**Amazon**	AMZN	2,268.82	2.49%
6	**Broadcom**	AVGO	1,599.82	1.76%
7	**Exxon Mobil**	XOM	1,419.50	1.56%
8	**Meta Platforms**	META	1,390.92	1.53%
9	**Tesla**	TSLA	1,297.36	1.43%
10	**Walmart**	WMT	1,204.02	1.32%
11	Berkshire Hathaway	BRK.A / BRK.B	1,125.72	1.24%
12	Eli Lilly	LLY	1,114.14	1.22%
13	JPMorgan Chase	JPM	1,052.18	1.16%
14	General Electric	GE	842.68	0.93%
15	Johnson & Johnson	JNJ	802.72	0.88%
16	IBM	IBM	792.05	0.87%
17	Oracle	ORCL	729.61	0.80%
18	Visa	V	628.40	0.69%
19	Procter & Gamble	PG	626.38	0.69%
20	Chevron	CVX	606.84	0.67%
21	Altria Group	MO	594.08	0.65%
22	Mastercard	MA	592.64	0.65%
23	Coca-Cola	KO	559.06	0.61%
24	Home Depot	HD	557.70	0.61%
25	General Motors (to 2009)*	GM (hist.)	520.48	0.57%
26	Merck & Co.	MRK	519.13	0.57%
27	Wells Fargo	WFC	452.62	0.50%
28	AbbVie	ABBV	417.73	0.46%
29	Costco	COST	416.29	0.46%
30	Cisco Systems	CSCO	403.18	0.44%
31	UnitedHealth Group	UNH	401.70	0.44%
32	Netflix	NFLX	401.68	0.44%
33	Bank of America	BAC	394.13	0.43%
34	DuPont (to 2017)*	DD (hist.)	392.58	0.43%
35	Abbott Laboratories	ABT	390.12	0.43%
36	McDonald's	MCD	381.56	0.42%
37	Caterpillar	CAT	380.39	0.42%
38	AT&T; Corp. (to 2005)*	T (hist.)	362.48	0.40%
39	PepsiCo	PEP	359.95	0.40%
40	American Express	AXP	355.08	0.39%
41	Palantir Technologies	PLTR	353.54	0.39%
42	Intel	INTC	346.71	0.38%
43	Morgan Stanley	MS	339.06	0.37%
44	RTX Corporation	RTX	338.01	0.37%
45	Royal Bank of Canada	RY	320.25	0.35%
46	Goldman Sachs	GS	307.28	0.34%
	TOTAL, 46 COMPANIES		**45,551.25**	**50.08%**

* GM, DD and T are **historical ticker references**. The securities studied are not identical to shares now trading under those symbols. Both current share classes are listed for Alphabet and Berkshire Hathaway.

Data sources: Ranks 1–30: Table 5 in the paper. Ranks 31–46: a supplementary ranking published by wallstreetONLINE (Nov. 1, 2026); the original PDF does not name those 16 companies individually. Percentage shares were recalculated using the $90.96 trillion net total and rounded.